

FEDERAL MARITIME COMMISSION

DOCKET NOS. 16-01; 16-07; 16-10; 16-11

IN RE: VEHICLE CARRIER SERVICES¹

ORDER DENYING MOTIONS TO STAY AND SCHEDULING BRIEFING

On January 31, 2017, an order was issued requiring the parties to meet and confer and file a joint status report. On March 1, 2017, two joint status reports were filed, one by the parties in Docket 06-01 ("JSR-06-01") and one by the parties in Dockets 16-07, 16-10, and 16-11 ("JSR-C"). After reviewing the joint status reports and other filings, a number of rulings are made below.

Stay

Respondents filed consolidated motions to stay each of these cases, requesting a stay pending resolution of related proceedings in federal court. *See* motions filed in 16-01 on January 25, 2016; in 16-07 on April 25, 2016; in 16-10 on May 31, 2016; and in 16-11 on May 31, 2016. Complainants filed an opposition to the motion to stay in 06-01, asserting that the delay would harm Complainants. Respondents filed a reply brief in 16-01, arguing that the relevant factors weighed in favor of the requested stay. In the joint status reports, the parties continue to disagree about the need for a stay.

The 16-01 Complainants indicate that they have decided to proceed before the Commission without further appeal in the federal proceedings and contend that any further delay in these proceedings would disadvantage Complainants. JSR-16-01 at 2. All Complainants assert that they intend to fully prosecute their claims under the Shipping Act regardless of the outcome of the federal proceedings and that the legal claims and remedies of the Commission proceedings are different from the federal proceedings. JSR-C at 3; JSR-16-01 at 2.

Respondents contend that all four cases should remain stayed pending final resolution of the federal cases; that a stay is in the interests of judicial economy and efficient case management; and that a stay will avoid the possibility of inconsistent results. JSR-C at 3-4.

¹ The caption has been shortened due to the number of cases. See Schedule A for the list of parties to these cases.

The federal District Court and the Third Circuit have issued rulings in the federal cases. On February 22, 2017, the Third Circuit denied a petition for panel rehearing and rehearing en banc. JSR-C at 1. Although some of the Complainants may file a petition for writ of certiorari with the Supreme Court, the likelihood of that being accepted is limited (as with all cases) and not a basis to further delay these proceedings. Moreover, regardless of the outcome in the federal proceedings, the Complainants would be entitled to move forward with their Shipping Act cases. After consideration of the factors relevant to staying proceedings and the arguments of the parties, the motions to stay are denied.

Protective Orders

The parties indicate that no preservation orders are necessary at this time. JSR-C at 4. The discovery confidentiality order issued by United States Magistrate Judge Joseph A. Dickerson on June 30, 2014, and attached to JSR-06-01 as exhibit 1 will remain in effect to the extent consistent with Commission regulations and FOIA. To the extent that any parties to the Commission cases are not bound by the discovery confidentiality order, those parties are hereby bound by that order. Issues regarding the temporal scope of document preservation will be addressed at a later time.

Discovery

The parties indicate that no discovery has taken place in these or any related cases. JSR-06-01 at 5; JSR-C at 5. The 06-01 Complainants contend that “the most efficient and expeditious way to proceed is for each of the Respondents to produce promptly all documents Respondents provided to the Department of Justice” regarding the related DOJ investigation. JSR-06-01 at 5. The other Complainants agree with Respondents that no discovery should proceed in these cases until preliminary legal issues are resolved. JSR-C at 5.

Respondents “strongly object to Complainants’ demand that Respondents provide discovery before the motions to dismiss are decided,” asserting that the “decision on the motions to dismiss will determine the contours of the claims, defenses, and key issues.” JSR-06-01 at 7. Respondents further contend that prior to providing any documents, they would need to “undertake a massive review for relevance, privilege, and privacy issues.” JSR-06-01 at 7.

Respondents raise legitimate concerns. To resolve this proceeding as efficiently and cost-effectively as possible, discovery will be stayed until Respondents have had an opportunity to file motions to dismiss and address the preliminary legal issues identified below.

Legal Issues

Complainants “agree that the determination of certain legal issues may facilitate settlement or other resolution of the captioned cases” and Respondents state that resolving the “legal issues identified by the Presiding Officer may expedite resolution of all four of the cases.” JSR-C at 6-7; *see also* JSR-06-01 at 9. The 06-01 Complainants propose allowing fourteen days for the parties to

propose a briefing schedule; the other Complainants propose a briefing schedule with concurrent motions; and Respondents assert that briefing is premature and should be sequenced with a motion, opposition, and reply.

Respondents indicate an intent to file consolidated motions to dismiss in each case and it appears that all of these proposed legal issues would be properly addressed in Respondents' dispositive motions. Accordingly, Respondents should address the following issues in their motions to dismiss as well any other appropriate issues:

- Whether proper service has been effected on the Specially Appearing Respondents.
- Whether the statute of limitations bars recovery.
- Whether Congress granted the Commission the statutory authority to entertain a class action that would bind members of the class who are not parties to the case; and if so, whether the Commission should exercise that authority. Respondents may also address Complainants' argument that Respondents are estopped from objecting to the class action procedure.
- Whether Complainants have standing to bring these claims; whether Complainants are eligible for reparations under the Shipping Act; and whether Respondents are estopped from making a standing argument.
- Whether the filed rate doctrine or similar principles bar the Complainants' claims for reparations.
- Whether Complainant's Shipping Act claims are adequately pled as a matter of law.

Consistent with Commission Rules, briefing will be sequenced with motions, oppositions, and replies. 46 C.F.R. § 502.70. Given the number and complexity of the issues involved, the time and page limits of Commission Rule 70 will be expanded. Respondents' consolidated motions to dismiss are due on April 26, 2017. The opposition briefs are due on May 24, 2017. Reply briefs are due on June 8, 2017. Oral argument will be scheduled if the Presiding Officer finds it necessary. Each motion to dismiss and opposition brief may not exceed sixty pages and each reply brief may not exceed twenty pages.

Word Processing Versions

Parties should email a word-processing version (*e.g.*, Microsoft Word or WordPerfect) of all motions, briefs, and status reports to: judges@fmc.gov. Do not send word processing versions to the Office of the Secretary.

Cited Cases

Any cases cited by a party that are not accessible via Lexis, the Commission's docket, or in the SRR should be emailed to *judges@fmc.gov* or included in an appendix. Do not send copies of cases to the Office of the Secretary.

Appendix

If parties need to file an Appendix with any filing, they should follow these guidelines:

- a. The cover of the appendix shall identify the party or parties that prepared the appendix;
- b. The pages of the appendix shall be numbered sequentially, for example CX 1, CX 2, CX 3 or RX 1, RX 2, RX 3, etc. The appendix should be secured in a three-ring binder;
- c. The appendix must begin with a table of contents identifying the page at which each individual document begins;
- d. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7;
- e. The parties are instructed to cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondents contend that a document included in Complainants' appendix rebuts the evidence Complainants claim supports a proposed finding of fact, Respondents shall cite to Complainants' appendix rather than include a second copy of the same document in its own appendix; and
- f. Prior orders and filings in these Commission cases should not be included in the appendix (i.e. do not file copies of the complaint or prior orders in the FMC case). Cited filings from other cases (i.e. a federal court documents) should be included in an appendix.

Settlement

The 06-01 Complainants suggest appointment of a neutral mediator but the Respondents oppose the request. JSR-06-01 at 10. The other Complainants agree that resolution of legal issues and Respondents' anticipated dispositive motions would aid settlement negotiations. JSR-C at 8-9. Pursuant to the initial order in these cases, within fifteen days of filing an answer, the parties must participate in a preliminary conference with the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS) as to whether the matter may be resolved through mediation. The parties will be required to contact CADRS after filing an answer and may contact CADRS prior to that deadline if it will be helpful in resolving any issues in the cases. The cases will not be stayed during the dispute resolution process. If a settlement is reached, parties must file a motion seeking approval of the settlement which attaches a copy of the settlement agreement.

Lead/Liaison Counsel

Per the request of the parties, JSR-06-01 at 10 and JSR-C at 10-11, the following will serve as lead or liaison counsel, with the duties listed in exhibit 3 of the JSR-06-01 to the extent they are compatible with Commission procedures. These appointments are subject to change, if appropriate.

Direct Purchaser Complainants (16-01): Kit Pierson of Cohen Milstein Sellers & Toll PLLC; Robert Kaplan of Kaplan Fox & Kilsheimer LLP; and Steven Kanner of Freed Kanner London & Millen LLC.

End-Payor Complainants (16-07): Warren T. Burns of Burns Charest LLP; Steven N. Williams of Cotchett, Pitre & McCarthy LLP; and Hollis Salzman of Robins Kaplan LLP.

Truck and Equipment Dealer Complainants (16-10): Wayne A. Mack of Duane Morris LLP; and J. Manly Parks of Duane Morris LLP.

Automobile Dealer Complainants (16-11): Jonathan W. Cuneo of Cuneo, Gilbert & LaDuca LLP; Don Barrett of the Barrett Law Group, P.A.; and Shawn Raiter of Larson King LLP.

Respondents: Mark W. Nelson of Cleary Gottlieb Steen & Hamilton LLP, counsel for Respondents Kawasaki Kisen Kaisha, Ltd. and "K" Line America, Inc., and Roberto A. Rivera-Soto of Ballard Spahr LLP, counsel for Specially Appearing Respondents Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and EUKOR Car Carriers Inc. will serve as Liaison Counsel on behalf of all Respondents

Filing Procedure

The Joint Status Report in 06-01 was not sent to the *judges@fmc.gov* email as required. Parties are reminded that they have agreed to file documents with the Office of the Secretary via email at *secretary@fmc.gov*, followed by an original and five hard copies via priority or overnight mail. In addition to filing with the Secretary, the parties should email courtesy copies to *judges@fmc.gov*.

Consolidating Filings & Caption

The parties have agreed that if they are filing documents applicable to more than one case, they may file in multiple cases by using the caption above and after filing by email, sending an original and eight hard copies. JSR-C at 11.

The parties have agreed that if filing in one case, they will use the caption initially assigned. If filing a document in multiple cases, the above caption may be utilized, listing only those case numbers to which the filing applies. JSR-C at 11.

Service by Email

The parties will be presumed to consent to receive service of the rulings, orders, and decisions in this case through email in lieu of service by U.S. mail. The parties have requested that they all receive copies of any rulings, orders, and decisions. This request is approved so as long as lead or liaison counsel, or no more than one counsel for each side of each case, confirms receipt. A party must notify the Commission of any change of service address.

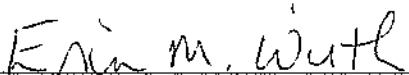
ORDER

Upon consideration of the record and arguments of the parties and for the reasons stated above, it is hereby:

ORDERED that Respondents' motions to stay in 16-01, 16-07, 16-10, and 16-11 be **DENIED**. It is

FURTHER ORDERED that the discovery confidentiality order issued by United States Magistrate Judge Joseph A. Dickerson on June 30, 2014, and attached to the JSR-06-01 as exhibit 1 will remain in effect to the extent it is consistent with Commission regulations. It is

FURTHER ORDERED that in accordance with the instructions outlined above, Respondents file their consolidated motions to dismiss by April 26, 2017; Complainants file their opposition briefs by May 24, 2017; and Respondents file their reply briefs by June 8, 2017.


Erin M. Wirth
Administrative Law Judge